

D365

Financial Management II

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A firm can buy a machine for \$250,000 that will produce after-tax cash flows of \$80,000 a year for 4 years. Its cost of capital is 9%. The supplier is based in Germany, and the CFO strongly favors the purchase. What is the NPV?

- A. About -\$9,178
- B. About +\$259,178
- C. +\$70,000
- D. About +\$9,178

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

Two mutually exclusive projects are under review. Project A has an NPV of \$42,000 and an IRR of 15%. Project B has an NPV of \$35,000 and an IRR of 22%. The cost of capital is 10%. Project B's team won last year's innovation award. Which should the firm choose?

- A. Project B, because its team won an award.
- B. Project A, because it adds more value (higher NPV).
- C. Both, because both IRRs exceed 10%.
- D. Project B, because it has the higher IRR.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

An independent project has an IRR of 11%. The firm's cost of capital is 13%. What does this tell you about the project's NPV?

- A. NPV is zero.
- B. Nothing; IRR never says anything about NPV.
- C. NPV is positive; accept.
- D. NPV is negative; reject.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

Project X costs \$120,000 and returns \$40,000 in year 1, \$50,000 in year 2, \$60,000 in year 3 and \$60,000 in year 4. The project is led by the firm's most senior engineer. What is the payback period?

- A. 2.5 years
- B. 2.0 years
- C. About 2.29 years
- D. 3.0 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

Projects A and B each cost \$100,000 and each pay back in exactly 2 years. After year 2, A produces nothing more, while B produces \$60,000 a year for five more years. How does the payback rule rank them?

- A. B ranks higher because of its later cash flows.
- B. A ranks higher because payback discounts later cash flows.
- C. Equal, because payback ignores cash flows after year 2.
- D. A ranks higher because it ends sooner.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A firm is evaluating a new product line. It spent \$80,000 last year on market research. The line would use a vacant warehouse the firm could otherwise lease out for \$30,000 a year, and it needs \$50,000 of added inventory at launch. The project would be financed with a 6% bond. The idea came from the marketing VP, who joined from a rival. Which items belong in the project's cash flows?

- A. Only the inventory; the warehouse is already owned, so it is free.
- B. The lost lease income, the inventory and the bond interest.
- C. The research, the lost lease income and the inventory.
- D. The \$30,000 lost lease income and the \$50,000 inventory investment only.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Which of these should be excluded from a project's incremental cash flows?

- A.** After-tax salvage value.
- B.** Interest on the debt used to fund the project.
- C.** Working capital recovered at the end.
- D.** Lost sales of an existing product (cannibalization).

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A company with a 25% tax rate issues \$4 million of debt at 8% interest to buy back shares. Its operating income stays at \$3 million, and it plans to open an office in Singapore. How much does the new debt reduce its annual tax bill?

- A.** \$80,000
- B.** \$1,000,000
- C.** \$320,000
- D.** \$750,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A firm has net income of \$10 million. Its capital budget is \$12 million, and its target capital structure is 60% equity and 40% debt. It has 5 million shares outstanding, and its stock just hit an all-time high. Under the residual dividend model, what total dividend should it pay?

- A.** \$2.8 million
- B.** \$0
- C.** \$5.2 million
- D.** \$6.0 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A firm follows the residual dividend model with a 70% equity and 30% debt target. It earned \$8 million and paid \$1 million in dividends. What was its capital budget?

- A.** \$9 million
- B.** About \$23.3 million
- C.** \$10 million
- D.** \$7 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A utility's preferred stock pays a fixed \$6 annual dividend and sells for \$75 a share. Its common stock pays \$2.40 and has 50,000 shareholders. Ignoring flotation costs, what is the cost of preferred stock?

- A.** 12.5%
- B.** 6.0%
- C.** 8.0%
- D.** 3.2%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

12.

A tech company issues two 10-year bonds with the same credit rating on the same day. One is a straight bond with a 7% coupon. The other can be exchanged for common stock at the holder's option. The company's campus is in Austin and it has 4,000 employees. How will the convertible's coupon compare?

- A.** Higher, to pay investors for the stock risk.
- B.** Lower, because investors accept less interest in exchange for the conversion option.
- C.** The same, because the credit rating is the same.
- D.** Zero, because convertibles never pay interest.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A firm can buy a machine for \$250,000 that will produce after-tax cash flows of \$80,000 a year for 4 years. Its cost of capital is 9%. ~~The supplier is based in Germany, and the CFO strongly favors the purchase.~~ What is the NPV?

Target word: NPV **Decides:** $PV \text{ of inflows} = \$80,000 \times 3.2397 = \$259,178$.

A	Inverted operation	Right size, wrong sign.
B	Adjacent category	PV of inflows without subtracting the cost.
C	Dropped element	Undiscounted: $\$320,000 - \$250,000$.
D	Correct	$\$259,178 - \$250,000$.

2. Answer B Concept 2

Two mutually exclusive projects are under review. Project A has an NPV of \$42,000 and an IRR of 15%. Project B has an NPV of \$35,000 and an IRR of 22%. The cost of capital is 10%. ~~Project B's team won last year's innovation award.~~ Which should the firm choose?

Target word: choose one **Decides:** Mutually exclusive: higher NPV wins.

A	Camouflage	The award does not affect value.
B	Correct	NPV measures dollars of value created.
C	Dropped element	Ignores that only one can be chosen.
D	Confusion set	IRR can mis-rank mutually exclusive projects.

3. Answer D Concept 2 · transfer

An independent project has an IRR of 11%. The firm's cost of capital is 13%. What does this tell you about the project's NPV?

Target word: infer NPV sign from IRR **Decides:** IRR below cost of capital.

A	Adjacent category	NPV is zero only when discounted at the IRR itself.
B	Absolute language	For normal cash flows the two agree on accept or reject.
C	Inverted operation	True only if IRR exceeds the cost of capital.
D	Correct	Discounting at a rate above IRR gives $NPV < 0$.

4. Answer A Concept 3

Project X costs \$120,000 and returns \$40,000 in year 1, \$50,000 in year 2, \$60,000 in year 3 and \$60,000 in year 4. ~~The project is led by the firm's most senior engineer.~~ What is the payback period?

Target word: payback in years **Decides:** After 2 years \$90,000 is recovered; \$30,000 of year 3's \$60,000 remains.

A	Correct	$2 + \$30,000 \div \$60,000$.
B	Wrong stem number	Only \$90,000 has been recovered by then.
C	Adjacent category	Uses the average cash flow $(\$120,000 \div \$52,500)$.
D	Dropped element	Rounds up and drops the fraction of year 3.

5. Answer C Concept 3 • transfer

Projects A and B each cost \$100,000 and each pay back in exactly 2 years. After year 2, A produces nothing more, while B produces \$60,000 a year for five more years. How does the payback rule rank them?

Target word: what payback sees **Decides:** Payback ignores cash after the payback point.

A	Confusion set	That is how NPV would rank them, not payback.
B	Adjacent category	Plain payback does not discount; that is discounted payback.
C	Correct	This blind spot is the method's main weakness.
D	Inverted operation	Ending sooner does not change payback.

6. Answer D Concept 4

A firm is evaluating a new product line. It spent \$80,000 last year on market research. The line would use a vacant warehouse the firm could otherwise lease out for \$30,000 a year, and it needs \$50,000 of added inventory at launch. The project would be financed with a 6% bond. ~~The idea came from the marketing VP, who joined from a rival.~~ Which items belong in the project's cash flows?

Target word: relevant cash flows **Decides:** Sunk research and financing costs are excluded.

A	Dropped element	Drops the opportunity cost.
B	Adjacent category	Financing costs are captured in the discount rate.
C	Confusion set	The research is sunk.
D	Correct	Opportunity cost and working capital are incremental.

7. Answer B Concept 4 • transfer

Which of these should be excluded from a project's incremental cash flows?

Target word: pick the excluded item **Decides:** Financing costs are excluded.

A	Adjacent category	A terminal cash flow that belongs in the analysis.
B	Correct	The cost of capital already reflects financing.
C	Confusion set	A real incremental inflow.
D	Inverted operation	Side effects must be included.

8. Answer A Concept 5

A company with a 25% tax rate issues \$4 million of debt at 8% interest to buy back shares. Its operating income stays at \$3 million, ~~and it plans to open an office in Singapore.~~ How much does the new debt reduce its annual tax bill?

Target word: annual tax shield **Decides:** Interest $\$320,000 \times 25\%$.

A	Correct	$\$320,000 \times 0.25$.
B	Wrong stem number	Applies the tax rate to principal.
C	Dropped element	The interest itself, before applying the tax rate.
D	Camouflage	Tax on operating income, unaffected by the shield calculation.

9. Answer A Concept 6

A firm has net income of \$10 million. Its capital budget is \$12 million, and its target capital structure is 60% equity and 40% debt. ~~It has 5 million shares outstanding, and its stock just hit an all time high.~~ Under the residual dividend model, what total dividend should it pay?

Target word: total dividend **Decides:** Equity needed = $60\% \times \$12\text{M} = \7.2M .

A	Correct	$\$10\text{M} - \7.2M .
B	Dropped element	Funds the whole budget with equity and ignores the debt share.
C	Inverted operation	Subtracts the debt share (\$4.8M) instead of the equity share.
D	Confusion set	A 60% payout ratio, not the residual.

10. Answer C Concept 6 · transfer

A firm follows the residual dividend model with a 70% equity and 30% debt target. It earned \$8 million and paid \$1 million in dividends. What was its capital budget?

Target word: solve for capital budget **Decides:** Equity used = $\$7\text{M} = 70\%$ of the budget.

A	Inverted operation	Adds dividends to income.
B	Confusion set	Divides by the debt share.
C	Correct	$\$7\text{M} \div 0.70$.
D	Dropped element	The equity portion only.

11. Answer C Concept 7

A utility's preferred stock pays a fixed \$6 annual dividend and sells for \$75 a share. ~~Its common stock pays \$2.40 and has 50,000 shareholders.~~ Ignoring flotation costs, what is the cost of preferred stock?

Target word: cost of preferred **Decides:** Preferred dividend $\div$ preferred price.

A	Inverted operation	Price $\div$ dividend.
B	Wrong stem number	Reads the \$6 dividend as a rate.
C	Correct	$\$6 \div \75 .
D	Camouflage	Uses the common dividend.

12. Answer B Concept 8

A tech company issues two 10-year bonds with the same credit rating on the same day. One is a straight bond with a 7% coupon. The other can be exchanged for common stock at the holder's option. ~~The company's campus is in Austin and it has 4,000 employees.~~ How will the convertible's coupon compare?

Target word: coupon direction **Decides:** Investors receive a conversion option.

A	Inverted operation	The option benefits the holder, lowering the needed coupon.
B	Correct	The option has value, so the coupon can be lower.
C	Dropped element	Ignores the value of the conversion feature.
D	Absolute language	Most convertibles pay a coupon.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Net present value	NPV = PV of after-tax cash flows at the cost of capital – initial cost; accept if positive.	Summing undiscounted cash flows, or forgetting to subtract the cost.	An upfront cost, level inflows and a cost of capital.
2	IRR vs. NPV	Accept an independent project if $IRR > \text{cost of capital}$; for mutually exclusive projects, choose the higher NPV.	Ranking mutually exclusive projects by IRR.	Two projects where the higher IRR has the lower NPV.
3	Payback period and its limits	Payback = years until cumulative cash flows recover the cost; it ignores time value and cash after payback.	Rounding to whole years, or assuming payback weighs later cash flows.	Uneven yearly cash flows and a cost.
4	Relevant (incremental) cash flows	Include opportunity costs, working capital and side effects; exclude sunk costs and financing costs.	Counting past research or interest payments.	A mix of past spending, lost income, inventory and interest.
5	Debt tax shield	Annual tax saved by debt = interest expense $\times$ tax rate.	Treating the whole interest bill or the debt principal as the saving.	Debt amount, interest rate and tax rate.
6	Residual dividend policy	Dividends = net income – (equity share $\times$ capital budget); pay only what is left after funding good projects.	Using the debt share, or paying a fixed payout ratio.	Net income, capital budget and target capital structure.
7	Preferred stock and shareholder classes	Preferred holders get a fixed dividend with priority over common, usually without votes; cost of preferred = preferred dividend $\div$ preferred price.	Using the common dividend or inverting the ratio.	Preferred and common dividend figures in one stem.
8	Convertible bonds	A convertible pays a lower coupon than a comparable straight bond because investors receive the option to convert into stock.	Thinking the equity feature requires a higher coupon.	Two bonds, same issuer and rating, one convertible.

Course scope (public description): This course covers capital budgeting and long-term funding strategies. The course will delve into more advanced financial management principles primarily targeted toward corporate investment and capital planning. This course also explores an enterprise's capital structure and how equity and long-term debt are used to finance and sustain long-term fixed asset projects. Decision methods, such as net present value, internal rate of return, and payback period, are discussed as techniques a finance professional might use in identifying and structuring the optimal capital budget. The learner will gain an understanding about equity capital, will assess financial markets, and will examine the differences in shareholder classifications and bonds. The course will teach how the dividend policy is devised and discover how the organization uses its corporate investment strategy to increase not only shareholder value but also corporate value for the shareholder. Prerequisites for Financial Management II are D196, Principles of Financial and Managerial Accounting; D076, Finance Skills for Managers; D363, Personal Finance; D362, Corporate Finance; D364, Financial Management I; and D366, Financial Statement Analysis.